

Plug and Play Industrial Shed Policy (DBFOT Model)



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In March 2026, the Government of Uttar Pradesh launched the ****Plug-and-Play Industrial Sheds Scheme-2026**** under the Infrastructure & Industrial Development department. The policy is designed to give small industries a faster and easier way to begin work, without forcing them to spend months setting up their own factory space.

For many MSMEs, starting a unit is often the hardest part. The usual process begins with finding land, then building sheds, then arranging roads, water, power, drainage, and other basic facilities. All of that takes time and money. In many cases, production cannot even begin until the site is fully ready. This scheme was brought in to reduce that burden.

Under the policy, private developers build industrial sheds on government land through a public-private partnership model. The land is typically spread across plots of around 10 to 20 acres, and the concession period runs for 45 years, extendable by up to 15 years under the scheme framework. The model shifts

from “lease and build” to “rent and operate,” so businesses can move into ready sheds and begin production sooner.

This matters for MSMEs because they usually work with limited funds and tight schedules. A ready space reduces heavy upfront spending on construction and infrastructure. It also helps them avoid long delays that can affect orders, hiring, and

production planning. Instead of waiting for a unit to be built, they can focus on making products and running the business.

The policy was approved quickly in early 2026, and pilot clusters are already being identified in places like Raebareli and textile park areas. That shows the scheme is not just a paper plan. It is being taken forward in locations where industrial activity can benefit right away and where the results can be watched closely.

The scheme also fits into the larger push for industrial growth and job opportunities in Uttar Pradesh. It supports sectors that need ready infrastructure and quicker setup, including manufacturing-related industries where speed matters. For a small entrepreneur, even one saved month can make a difference. A faster start means earlier production, earlier income, and less pressure at the beginning.

With MSMEs contributing around 30% to India’s GDP and employing over 11 crore people, this scheme could touch a very large part of the economy. For many small businesses, it offers a clearer path to start work, grow steadily, and move ahead with less friction.

PLUG & PLAY
INDUSTRIAL SHED POLICY
(DBFOT MODEL)
Faster Setup • Lower Costs • More Jobs

- 50%** Built-up in 2-3 Years
- 10+** Acre Industrial Projects
- 45** Year Concession Period
- 5-10%** Upfront Land Premium
- Faster Setup**
Lower Costs
More Jobs

BUILDING FUTURE-READY INDUSTRIES in UTTAR PRADESH

- INVESTOR FRIENDLY ECOSYSTEM
- WORLD-CLASS INFRASTRUCTURE
- MORE JOBS FOR YOUTH
- STRONGER ECONOMY